Statistics

Table 52.2 shows general statistics.

Number found. I found 1,804 rectangle tops in 732 stocks with the first pattern located in July 1991 and the most recent in December 2019. Not all stocks covered the entire period, and some no longer trade. I removed 122 bear market patterns because they didn't meet the 150-pattern minimum for this edition.

Reversal (R), continuation (C) occurrence. Since we are dealing with tops, upward breakouts from rectangles act as continuations of the uptrend while downward breakouts are reversals by definition.

Average rise or decline. Rectangle tops in bull markets with upward breakouts put in a stellar performance: Price rises an average of 51%. It's why the pattern has a performance rank of five. The other two columns, from left to right, have mediocre and yucky performance, respectively.

Standard & Poor's 500 change. The general market helped upward breakouts in bull markets (a rising tide lifts all boats). The other two columns don't show numbers high enough to assist much with pattern performance. All of this is speculation, of course, but I do know that the general market helps stock performance.

Days to ultimate high or low. I compared the velocity of upward breakouts in bull and bear markets and found that the bear market rise was 1.4 times the rate of the bull market climb. Doesn't that just curl your toes with delight?